

ANNOUNCEMENT OF UNAUDITED RESULTS FOR THE SIX MONTHS ENDED 30 JUNE 2014



nairobi securities exchange
Discover Opportunity

The Board of Directors of the Nairobi Securities Exchange Limited (NSE) is pleased to announce the unaudited results of the company for the six months ended 30 June 2014.

Condensed Statement of Profit or Loss and Other Comprehensive Income for the Six Months Ended

	30.06.2014 Kshs '000	30.06.2013 Kshs '000
Operating income	300,218	234,797
Interest income	13,536	9,273
Other income	39,444	36,544
Total income	353,198	280,614
Administrative expenses	(184,667)	(161,643)
Finance cost	(10,260)	(22,091)
Share of profit of associate company	-	11,841
Net recovery on doubtful debts	-	114,992
Profit before taxation	158,271	223,713
Taxation charge	(50,980)	(69,171)
Profit for the period	107,291	154,542
Earnings per share (EPS)* - Kshs.	0.83	1.20

*EPS based on issued shares as at 30 June 2014

Condensed Statement of Financial Position

As at	30.06.2014 Kshs '000	31.12.2013 Kshs '000
Assets		
Non current asset	859,164	864,180
Current assets	264,206	284,956
Total assets	1,123,370	1,149,136
Equity and liabilities		
Share capital	514,500	24,500
Reserves	274,601	706,310
Non current liabilities	91,096	136,280
Current liabilities	243,173	282,046
Total equity and liabilities	1,123,370	1,149,136

Condensed Statement of Cashflows

As at	30.06.2014 Kshs '000	31.12.2013 Kshs '000
Cash flows from operating activities		
Cash generated from operations	100,749	457,253
Tax paid	(105,135)	(32,286)
Net cash (used in)/generated from operating activities	(4,386)	424,967
Net cash generated from/(used in) investing activities	2,924	(116,788)
Net cash used in financing activities	(89,478)	(217,703)
(Decrease)/increase in cash and cash equivalents	(90,940)	90,476
Cash and cash equivalents at the beginning of the period	170,048	79,572
Cash and cash equivalents at the end of the period	79,108	170,048

Condensed Statement of Changes in Equity

	Share capital Kshs '000	Retained earnings Kshs '000	Revaluation reserves Kshs '000
At 1 January 2013	24,500	468,018	-
2012 dividend declared in the year	-	(24,500)	-
Total comprehensive income for the year	-	262,264	528
At 31 December 2013	24,500	705,782	528
Bonus issue	490,000	(490,000)	-
2013 dividend declared in the year	-	(49,000)	-
Total comprehensive income for the period	-	107,291	-
At 30 June 2014	514,500	274,073	528

EXPLANATORY NOTES

The above financial statements are extracts of the unaudited financial results of the NSE. The accounting policies used in preparing these unaudited financial statements are consistent and should be read in conjunction with those used for the annual financial statements for the year ended 31 December 2013.

HIGHLIGHTS

Total income increased by 26% from Kshs. 281 Million in the first half of 2013 to Kshs. 353 Million in the first half of 2014. This resulted from an increase in equity turnover buoyed by improved performance of companies listed on the Exchange which rose 37% to Kshs. 201 Billion as compared to Kshs. 147 Billion in the first half of 2013. Transactions executed by foreign investors averaged 54% of total turnover. In the same period, secondary market activity in the fixed income market slid 14% from Kshs. 530 Billion in 2013 to Kshs. 457 Billion.

Profit before tax also increased by Kshs. 49.5 Million or 46% in the first half of 2014 of Kshs. 158.2 Million as compared to the adjusted Kshs. 108.7 Million profit before tax of the similar period in 2013 (as adjusted for the one off recovery of doubtful debts of Kshs. 114.9 Million).

DIVIDENDS

The Board of Directors do not recommend the payment of an interim dividend for the first half of the year 2014.

EVENT AFTER THE END OF THE REPORTING PERIOD

On July 23 2014, the company launched an Initial Public Offer (IPO). The Offer which closed on August 12, 2014 sought to raise Kshs. 627,000,000 by selling up to 66,000,000 new shares at a price of Kshs. 9.50 per share. It is the intention of the company that its shares will be listed and commence trading on September 9, 2014.

By Order of the Board

Peter K Mwangi
Chief Executive
Nairobi,
25th August 2014